

Morning Briefing

IRAN DEAL

FOMC WEEK

Monday 15 June 2026 | Generated ~06:30 BST (London) | Pre-European open | US markets closed Sunday – last close: Friday 12 June 2026

2. IMPORTANT NEWS

US and Iran confirm peace MOU – Strait of Hormuz to reopen by Friday

Source: Al Jazeera, Bloomberg, Yahoo Finance | Sunday 14 June 2026 (overnight)

Why it matters: The single biggest geopolitical risk premium in markets is being removed. Trump announced immediate cessation of hostilities, lifting of sanctions on Iranian oil, release of \$24bn in frozen assets and full reopening of the Strait of Hormuz. Risk assets surging; Brent and WTI down sharply. Nikkei +5.5%, Kospi +5.7%. Full deal signature expected by Friday 19 June.

SpaceX (SPCX) completes largest IPO in history – raises \$75 billion, closes +19% at \$161

Source: CNBC, Yahoo Finance | Friday 12 June 2026

Why it matters: SpaceX priced at \$135, opened and surged to ~\$161, valuing the company at \$1.77 trillion – seventh most-valuable US company, ahead of Tesla. Record-breaking IPO reinforces appetite for mega-cap tech. Watch for continued retail and institutional activity today.

FOMC convenes Tuesday-Wednesday (June 16-17) – first meeting under Chair Kevin Warsh

Source: Federal Reserve, IndexBox, Polymarket | Decision Wednesday 17 June

Why it matters: Markets price 99.5% probability of no change to 3.50-3.75% target range. Focus on dot-plot revision and whether Warsh adopts a formal tightening bias. US CPI at 4.2% leaves no room for dovish pivot. Statement and press conference will set rate narrative for H2 2026.

Lennar Q2 2026 EPS misses consensus – housing sector data in focus

Source: Yahoo Finance, CNBC | Thursday 11 June 2026 (after close)

Why it matters: LEN posted \$1.90 EPS vs \$1.94 consensus; revenues fell 5.2% YoY. Cycle times record-low at 121 days. With Housing Starts and FOMC this week, LEN miss paints a mixed picture of rate-sensitive US housing. Watch for broker downgrades today.

US inflation holds at 4.2% – Fed hawkish lock-in ahead of Warsh's debut

Source: Trading Economics, IndexBox | June 10 CPI release

Why it matters: Inflation running at double the Fed's 2% target reinforces the hold-or-hike stance. Any dovish surprise in the FOMC statement would catch markets off-guard. Energy base effects may shift CPI in coming months now that Iranian supply returns.

3. EUROPEAN FUTURES (pre-open)

Data collected ~06:00-06:30 BST. Source: Eurex, Investing.com, Barchart.

INDEX	FUTURE LEVEL	EXPECTED MOVE VS FRIDAY CLOSE	NOTE
Euro Stoxx 50	6,067	Iran deal rally – range 5,998-6,117 intraday	Opened at 6,095; pulled back slightly
DAX (DE40)	n/a – est. significantly higher	Friday close 24,635; Iran tailwind	Asian +5% move implies European gap-up
CAC 40	n/a	Positive open expected	CAC broke resistance at 8,250 last week
FTSE 100	n/a	Positive open expected	Oil majors (BP, Shell) will be headwind on FTSE

US FUTURES (CONTEXT)

CONTRACT	MOVE	NOTE
S&P 500 Futures	+1.14%	Iran deal gap-up overnight
Nasdaq 100 Futures	+1.79%	Tech / SpaceX momentum
Dow Futures	+440 pts (+0.9%)	Broad risk-on

4. YESTERDAY'S CLOSES – European Indices (Friday 12 June 2026)

Last European trading session. Source: Trading Economics, MarketScreener.

INDEX	CLOSE	CHANGE	% CHANGE
Euro Stoxx 50	n/a	n/a	n/a
DAX (DE40)	24,635	+426 pts	+1.76%
CAC 40	n/a	n/a	n/a
FTSE 100	n/a	n/a	n/a

DAX +1.76%: driven by Iran deal optimism and SpaceX IPO sentiment. CAC and FTSE closing levels unavailable from public search sources – verify on exchange or Bloomberg.

5. US MARKETS – FRIDAY 12 JUNE 2026 SESSION

Source: CNBC, Yahoo Finance, TheStreet.

INDEX	CLOSE	CHANGE (PTS)	% CHANGE
S&P 500	7,431.46	+37.2 pts	+0.50%
Dow Jones	51,202.26	+353.51 pts	+0.70%
Nasdaq Composite	25,888.84	+80.1 pts	+0.31%

Session Tone: Positive / Risk-On

Stocks closed higher Friday as the SpaceX (SPCX) Nasdaq debut boosted sentiment and Iran peace deal hopes provided a macro tailwind. SPCX raised \$75 billion in the largest IPO in history and closed +19% at \$161. **Leading sectors:** Technology, Consumer Discretionary, Industrials. **Lagging:** Energy (oil selloff on Iran deal), Utilities. Key takeaway: Markets entered the weekend in a risk-on posture, setting up today's gap-up on confirmation of the Iran MOU.

6. ASIAN MARKETS – OVERNIGHT SESSION (15 June 2026)

Source: Al Jazeera, CNBC, Investing.com. Data collected ~06:00 BST.

INDEX	LEVEL / MOVE	% CHANGE	NOTE
Nikkei 225 (Japan)	n/a – intraday	+5.5%	Record high; BOJ meeting also in view
Hang Seng (HK)	n/a – intraday	~+1.0%	Gave back most gains through session
Shanghai Composite	n/a	n/a	Verify on exchange
Kospi (South Korea)	n/a – intraday	+5.7%	Largest single-day move since April 2025
ASX 200 (Australia)	n/a – intraday	+1.5%	
Taiex (Taiwan)	n/a – intraday	+2.7%	Chip stocks; tech rally

Tone: Strongly risk-on. Driver: US-Iran peace MOU confirmed Sunday. Oil import-dependent economies (Japan, South Korea, India) outperformed. Hang Seng underperformed relative to Northeast Asia – faded morning gains. Shanghai data unavailable from public search.

7. COMMODITIES

Source: FXStreet, TradingKey, OilPrice.com, Trading Economics. Data collected ~06:00 BST.

COMMODITY	PRICE	CHANGE	% CHANGE	CONTEXT
Brent Crude	~\$87/bbl	-\$3.8/bbl	~-4.2%	Iran deal: Strait of Hormuz reopening by Friday priced in
WTI Crude	~\$79.50/bbl	-\$3.8/bbl	~-4.5%	Two-month low. US crude fell to levels last seen mid-April
Gold (XAU/USD)	~\$4,100/oz	Softening	n/a	Geopolitical premium unwinding; still historically elevated
Natural Gas (Henry Hub)	~\$4.09/MMBtu	n/a	n/a	Watch LNG flows through Hormuz normalisation
Copper	~\$6.62/lb	Firm	n/a	Iran deal supports global growth narrative; demand outlook improved

Notable: Brent fell from a peak of ~\$115 earlier in the Iran conflict to the current ~\$87 – a ~24% decline in weeks. Energy sector equities (BP, Shell, Total) face direct valuation headwind today.

8. RATES & FX

Source: Trading Economics, Investing.com, CNBC. Data collected ~06:00 BST.

RATES

INSTRUMENT	LEVEL	CHANGE	DIRECTION
US 10Y Treasury Yield	4.49%	~flat	Anchored; FOMC hold expected
German 10Y Bund Yield	~2.95%	Fell below 3%	At lowest since early June; risk-on rotation
US-Germany 10Y Spread	~154 bps	n/a	USD premium maintained

FX

PAIR	LEVEL	CHANGE	NOTE
EUR/USD	~1.1650	Firming	Range-bound near 1.165; Iran deal supports EUR
GBP/USD	~1.3430	Firm	Within expected 1.33-1.41 2026 range
DXY (Dollar Index)	~99.0	Softening	Risk-on environment weakens safe-haven USD

9. DCM — PRIMARY BOND MARKET

YESTERDAY'S ISSUANCES (FRIDAY 12 JUNE)

Source: GlobalCapital, IFR, ICMA. Specific deal-by-deal data unavailable from public search – verify with IFR or desk.

Corporate IG / SSA – Friday activity

Specific deal data (issuer, size, maturity, coupon, IPT-to-pricing tightening) unavailable from web search for Friday 12 June. SSA gross issuance for 2026 tracking toward ~€1.4 trillion; KfW targeting €70-75bn, EU targeting €160-170bn for full year. Contact IFR / GlobalCapital desk for deal-by-deal colour.

PIPELINE / EXPECTED TODAY

Pipeline – Week of 15 June 2026

FOMC uncertainty (June 16-17) typically suppresses issuance mid-week. Iran deal resolution and risk-on mood may prompt issuers to front-run any Wednesday volatility with Monday morning deals. Watch for SSA and financial issuers seeking to capitalise on tightening spreads. Corporate pipeline data not available from public search – verify with syndicate desks.

KEY SPREADS

INSTRUMENT	LEVEL (BPS)	MOVE	DIRECTION
iTraxx Main (5Y)	n/a	n/a	Expected tightening on Iran deal
iTraxx Crossover (5Y)	n/a	n/a	Expected tightening – risk-on
CDX IG (US)	n/a	n/a	Expected tightening
Avg Euro Corp IG Spread	n/a	n/a	Tight by historical standards; verify on Bloomberg

Real-time spread data requires Bloomberg / Refinitiv terminal – not available via public search.

COMMENTARY

Primary market tone enters the week in a constructive posture. The Iran MOU removes the dominant geopolitical overhang that had kept some risk-averse investors on the sidelines; a rally in credit spreads is expected at Monday open. However, FOMC uncertainty (June 16-17) will likely constrain issuance to Monday only, with borrowers reluctant to price through Wednesday's rate decision. Investor appetite is firm in IG – SSA and financials remain the most active sectors. Energy sector issuers may face wider concession given the oil price collapse. Window appears open for Monday morning deals in EUR IG; HY window more cautious given rate uncertainty.

10. ECONOMIC CALENDAR – Monday 15 June 2026

Source: Investing.com, FXStreet, Econoday. Times in BST (London).

13:30 BST	US – Empire State Manufacturing Index (June)	Cons: 13.2 Prev: 19.6	HIGH
14:15 BST	US – Industrial Production (May)	Cons: n/a Prev: n/a	HIGH
All day	US – FOMC meeting begins (June 16-17 decision)	No change exp. – 99.5% probability	HIGH
TBC	UK – Economic data (verify on BoE/ONS calendar)	n/a	MED
TBC	Eurozone – Economic data (verify on ECB/Eurostat calendar)	n/a	MED

Key risk: Empire State reading consensus 13.2 vs 19.6 prior suggests manufacturing slowdown in New York. A larger-than-expected miss could reinforce growth concern narrative heading into FOMC.

11. CORPORATE EVENTS & EARNINGS

Source: Yahoo Finance, CNBC, MarketBeat.

COMPANY	EVENT	KEY DETAILS
Lennar (LEN)	Q2 2026 results (reported Thu 11 June)	EPS \$1.90 vs \$1.94e (miss). Revenue -5.2% YoY. Cycle times 121 days record low. Watch for analyst reactions today.
Kroger (KR)	Earnings – this week	Date TBC; grocery sector / consumer spending bellwether
FedEx (FDX)	Earnings – this week	Date TBC; logistics demand / freight volumes; Iran deal improves trade corridor outlook
SpaceX (SPCX)	Post-IPO trading day 2	Closed +19% at \$161 on debut. Watch for lock-up and continued institutional buying.
GE Aerospace (GE)	Board election – Judson Althoff effective 24 June	Governance change; neutral market impact

12. STOCKS TO WATCH

Source: CNBC, Al Jazeera, Yahoo Finance, Reuters.

SPCX (SpaceX)	Post-IPO momentum day 2. Largest IPO in history raised \$75bn; closed +19% at \$161. Retail and institutional flow likely to continue. Watch for volume and technical support at IPO price \$135.	BULLISH
BP / SHEL / TTE	Brent -4.2% to ~\$87 on Iran deal. Oil majors face direct earnings revision risk. BP and Shell are significant FTSE 100 weights – FTSE may underperform European peers today as a result.	BEARISH
IAG / RYAA / WIZZ	Aviation: Lower oil = direct cost tailwind. Iran airspace reopening shortens Middle East routes. IAG (British Airways parent), Ryanair and Wizz Air all benefit materially from both Brent decline and Hormuz reopening.	BULLISH
LMT / RTX / NOC / BA	Aerospace & Defense: Iran peace deal removes Middle East conflict premium that had driven defense budget expectations. Risk of spending slowdown if ceasefire holds. Watch for profit-taking after strong YTD run.	BEARISH – near-term
LEN (Lennar)	Q2 EPS miss (\$1.90 vs \$1.94e). Revenue -5.2% YoY. With FOMC this week, housing sector in spotlight. Look for analyst downgrades or target price cuts at open.	BEARISH
Shipping (ZIM / MAERSK / HAFNI)	Strait of Hormuz reopening is structurally negative for freight rates in the short term as routes normalise. Red Sea / Persian Gulf shipping premiums collapse. Monitor Baltic Dry for spillover.	BEARISH – near-term
Mining (GLEN / AAL / RIO)	Iran deal supports global growth narrative and DXY softness is positive for commodity prices. Copper at \$6.62/lb firm. Glencore, Anglo American, Rio Tinto benefit from broader risk-on sentiment and weaker dollar.	MILDLY BULLISH
European Banks (BNP / SAN / DBK)	Risk-on rally and potential spread tightening in credit positive for bank equities. Bund yield below 3% may compress net interest margin expectations marginally. Watch for reaction to FOMC-week positioning.	CAUTIOUSLY BULLISH

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

1. **US CPI 4.2% YoY** – Inflation running at double the Fed's 2% target. Iran deal brings energy price relief but the disinflation path remains uncertain given labour market strength.
2. **FOMC June 16-17** – Kevin Warsh's first FOMC as Fed Chair. Market consensus: hold at 3.50-3.75%. Key watch: dot-plot shift toward neutral or tightening bias. Oil-driven CPI base effects may now cloud the H2 2026 outlook.
3. **Empire State Manufacturing 13.2 consensus vs 19.6 prior** – Suggests deceleration in NY manufacturing. A soft number reinforces growth slowdown narrative.
4. **Oil price crash** – Brent at ~\$87, WTI at ~\$79.50, both down ~4% overnight. Structural shift in energy prices positive for importing economies; negative for inflation narrative reversal in the very near term.

CORPORATE

1. **SpaceX (SPCX) IPO** – \$75bn raised, valued at \$1.77 trillion, seventh largest US company. Largest IPO in recorded history. Sets benchmark for mega private-to-public transitions; watch secondary market dynamics.
2. **Lennar Q2 miss** – EPS \$1.90 vs \$1.94e; housing most rate-sensitive sector with FOMC imminent. Cycle time improvements (121 days) and cost cuts (construction cost/sqft -7% YoY) are positives for longer-term margin recovery.
3. **Kroger and FedEx earnings this week** – Consumer spending (Kroger) and logistics demand (FedEx) will give real-economy read-through alongside Retail Sales data.

POLITICAL / GEOPOLITICAL

1. **US-Iran MOU – framework signed, treaty by Friday 19 June** – Terms: immediate cessation of hostilities, removal of US naval blockade of Iranian ports, suspension of oil sanctions, \$24bn frozen assets released. Full deal to be signed Friday. Verification mechanisms not yet public.
2. **Strait of Hormuz reopening timeline** – Trump stated reopening by Friday. ~20% of global oil transit through the strait. Full normalisation of tanker traffic could take weeks; near-term oil supply impact will be gradual not immediate.
3. **Lebanon – ceasefire included in MOU terms** – Per deal announcement, immediate cessation of hostilities on all fronts including Lebanon. Watch for regional geopolitical risk premium unwinding in MENA equity and credit markets.

14. KEY THEMES – TOP 5 BY HORIZON

TODAY'S TOP 5 – DRIVING MONDAY'S SESSION

1. Iran MOU – Risk-on gap-up across all asset classes

The peace MOU is the dominant driver. Equities gap up, oil gaps down, credit spreads tighten, DXY softens. Magnitude and durability of the rally depend on whether deal terms are confirmed without reversal.

2. Brent / WTI crash – Energy sector repricing

Oil -4% overnight. Energy stocks (BP, Shell, Total, Equinor) face multiple compression. Airlines, consumer stocks, industrials see cost tailwind. Central bank inflation calculus also shifts.

3. SpaceX (SPCX) post-IPO trading – Momentum or profit-taking?

Day 2 of trading for the largest IPO in history. \$1.77 trillion market cap. Watch institutional flows and whether +19% debut holds. Heavy retail interest expected.

4. Empire State Manufacturing – First hard data of the week

13:30 BST release. Consensus 13.2 vs prior 19.6; a sub-10 print would flag manufacturing contraction and could cap the equity rally in the afternoon session.

5. FOMC pre-positioning – Issuance window and rates

DCM issuers face a two-day window before FOMC silence period. Rate markets will digest the Iran deal's implications for CPI before Wednesday's decision and dot-plot.

THIS WEEK'S TOP 5 – 15-19 JUNE

1. FOMC Rate Decision – Wednesday 17 June

Kevin Warsh's first decision as Fed Chair. Hold widely expected (99.5%). Dot-plot and press conference will set H2 policy narrative. Iran deal lowers near-term inflation but Warsh is expected to signal vigilance.

2. Iran Treaty Signature – Friday 19 June (target date)

Full deal signature and Strait of Hormuz reopening targeted for Friday. Verification and implementation details will determine whether the oil price move is sustained or partially reverses.

3. Retail Sales (US) + FedEx and Kroger earnings

Real-economy demand indicators. FedEx freight volumes signal global trade; Kroger captures consumer spending under inflationary pressure. Combined with FOMC, will paint the demand picture.

4. US Housing: Housing Starts + Lennar fallout

Housing most rate-sensitive sector. LEN EPS miss adds to concern. Housing Starts data this week tests whether the sector is deteriorating ahead of any FOMC signal.

5. BOJ meeting (Japan) – policy signal after Nikkei record high

Nikkei hit record high on Iran deal. BOJ meeting this week; any YCC/rate signal will be amplified by the current euphoria. Yen dynamics watched closely.

THIS MONTH'S TOP 5 – JUNE 2026

1. Iran peace deal implementation – Will the Strait reopen on time?

Geopolitical risk premium took months to build; market will test whether the MOU holds. Any reversal – military incident, political opposition in Iran – could spike oil and credit spreads instantly.

2. Fed policy path under Warsh – Hike risk in H2?

With CPI at 4.2%, Warsh may signal willingness to hike if disinflation does not resume. Markets currently price zero hikes in 2026; any dot-plot shift would reprice rates and duration.

3. European fiscal and SSA supply – €1.4 trillion gross issuance year

Germany and France running large deficits; EU funding target €160-170bn. Supply pressure on EGB yields is structural. Any risk-on narrowing in spreads may be temporary unless ECB signals accommodation.

4. Oil market rebalancing – OPEC+ response to Hormuz reopening

Brent at \$87 and falling. OPEC+ will need to decide whether to defend a price floor or allow market forces. An emergency OPEC+ meeting could stabilise oil and partially reverse the Iran-deal selloff.

5. AI / Tech momentum – SpaceX IPO as catalyst

SpaceX's \$1.77 trillion debut follows a strong run for AI-linked equities. The IPO window is now fully open; watch for further mega-cap tech listings and Nasdaq breadth expansion.

15. KEY TRENDS TO WATCH

1 DAY – What could move markets today

- Iran deal confirmation details – any doubt on implementation timeline could partially unwind the rally
- Empire State Manufacturing (13:30 BST) – soft print would cap afternoon risk-on
- Oil sector equities – BP, Shell, Total opening moves will set FTSE tone
- SpaceX SPCX – whether IPO momentum continues or profit-taking emerges
- DCM issuance window – any EUR IG deals launched before FOMC silence period

1 WEEK – Key appointments and themes

- FOMC decision Wednesday – dot-plot and Warsh press conference are the pivotal events
- Iran treaty signature target Friday 19 June – full implementation credibility test
- Retail Sales + FedEx + Kroger earnings – US consumer health read
- Housing Starts – rate sensitivity test, context for LEN miss
- BOJ policy signal (Japan) – amplified by Nikkei record high

1 MONTH – Major deadlines and underlying trends

- Iran peace deal durability – implementation through end of June will determine whether oil rebound is structural or transient
- Fed rate path – if CPI does not fall toward 3% by end of June, July hike risk rises
- European SSA supply – KfW, EU funding needs keep EGB supply elevated through Q3
- Tech / AI earnings season (July) – SpaceX IPO sets expectations bar; Nvidia, Microsoft, Alphabet in focus
- OPEC+ – scheduled meeting will address Brent below \$90 and member quota compliance

Sources: Al Jazeera (Iran deal, Asian markets) | CNBC (US markets, SpaceX IPO, Fed, Asian markets, oil) | Yahoo Finance (US closes, SpaceX, Lennar) | Bloomberg (stock market today, FOMC) | Trading Economics (yields, DAX, commodities, EUR/USD) | FXStreet (WTI, EUR/USD, Asian stocks) | IndexBox (FOMC June 2026 preview) | TradingKey (WTI, oil) | Investtech (Euro Stoxx 50 futures, technical) | Barchart (European futures) | TheStreet (US markets) | Seeking Alpha (Iran deal market implications) | HeyGoTrade (weekly outlook) | Investech Morning Report 15 June 2026 | Investing.com (macro calendar, futures) | Polymarket (FOMC odds) | MarketScreener (DAX close)

Data collected automatically between ~05:30-06:30 BST on 15 June 2026. Some figures (CAC, FTSE close; iTraxx/CDX spreads; Shanghai; specific DCM deals) could not be sourced from public search – verify against Bloomberg, Refinitiv or exchange data before making any decision.